26SMCV00048 26SMCV00048

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-08-04

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C08%2F04%2F2026

Source SHA-256: 0c403cabccb18ff8c9c7526ec69a1a17691f9c98929b79fd45818d2d2ba52504

Case Number: 26SMCV00048 Hearing Date: August 4, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

August 4, 2026

CASE NUMBER

26SMCV00048

MOTIONS

Demurrer and Motion to Strike portions of Second Amended Complaint

MOVING PARTY

Defendant Great American Assurance Company

OPPOSING PARTIES

Plaintiffs Shahab Rahimi and Saba Rahimi

MOTIONS

This case arises from a dispute over insurance coverage for a home destroyed in the 2025 Palisades fire.

The operative Second Amended Complaint (“SAC”) filed by Plaintiffs Shahab Rahimi and Saba Rahimi (“Plaintiffs”) against Defendants Fay Servicing, LLC (“Fay”); Great American Assurance Company, Inc. (“Great American”); and Metropolitan Life Insurance Company (“Metropolitan”) (together “Defendants”) alleges fourteen causes of action as follows:

1.
Breach of contract

2.
Fraud

3.
Negligence

4.
Violation of Civil Code, § 3273.23 (Mortgage Forbearance Act)

5.
Breach of the Implied Covenant of Good Faith and Fair Dealing

6.
Unfair Competition Law

7.
Intentional Interference with Prospective Economic Advantage

8.
Violation of the Rosenthal Fair Debt Collection Practices Act

9.
Fraudulent concealment

10. Promissory estoppel

11. Tortious breach of the implied covenant of good faith and fair dealing (insurance bad faith)

12. Violation of the California Homeowner Bill of Rights

13. Violation of Consumer Credit Reporting Agencies Act

14. Negligent misrepresentation

The second, fourth, eighth, ninth, tenth, twelfth, thirteenth, and fourteenth causes of action are alleged against Fay and Metropolitan only. The eleventh cause of action is alleged against Great American only.

Great American now demurs to the first, fifth, and eleventh causes of action on the grounds that they fail to state facts sufficient to constitute a cause of action, pursuant to Code of Civil Procedure section 430.10, subdivision (e). Great American also moves to strike allegations of punitive/exemplary damages.

Plaintiffs oppose both motion and Great American replies.

REQUEST FOR JUDICIAL NOTICE

Great American requests judicial notice of “The prepared remarks of the Consumer Financial Protection Bureau’s Director Rohit Chopra at the Federal Housing Agency’s Symposium on Property Insurance on November 14, 2023[.]”

The stated grounds for the request for judicial notice are that the Court may take judicial notice of records of any court in this state, of the United States, or of any state in the United

States, pursuant to Evidence Code, section 452, subdivision (d).

However, the Director's prepared remarks are not court records. Therefore, the Court denies Great American's request for judicial notice.

ANALYSIS

1. DEMURRER

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, "[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

FAILURE TO STATE A CAUSE OF ACTION

i.

First Cause of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Further, "A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." (Code Civ. Proc., § 1559.) To be deemed a third-party beneficiary under California law the following factors must be established: "(1) whether the third party would in fact benefit from the contract, . . . (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward." (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Here, Plaintiffs allege:

157. A valid contract existed in the form of a lender-placed hazard insurance policy issued by Great American ("Policy") covering the subject property for a policy period that included the January 7, 2025, wildfire loss, as alleged in the Retroactive Cancellation factual allegations. Defendants Fay and Metropolitan procured, maintained, and controlled that lender-placed insurance policy as the policyholder and the party with contractual authority to administer the Policy and present claims. Plaintiffs' own payment funded the lender-placed insurance contract. As alleged above, Fay and Metropolitan charged the premium for the lender-placed insurance

Policy to Plaintiffs' escrow or loan account. Plaintiffs paid that premium directly or through their loan account. The premium charged was $5,793.65, and Fay and Metropolitan later confirmed that the premium had already been charged to the loan and paid through the escrow account. Fay and Metropolitan, acting through the loan-servicing relationship, transferred or caused those funds to be transferred for the procurement and issuance of the Great American Policy covering Plaintiffs' Property for the policy period that included the January 7, 2025, wildfire loss. Plaintiffs therefore furnished the consideration for the Policy covering their Property and were direct recipients, together with the lender, of the insurance protection purchased through that transaction.

158. Plaintiffs' payment of the $5,793.65 premium constitutes sufficient consideration for Defendants' promise to provide the insurance coverage described in the lender-placed Policy. California law recognizes that a contract requires sufficient consideration, and that a benefit conferred or prejudice suffered as an inducement to a promise constitutes good consideration. Plaintiffs paid for the lender-placed Policy through their account, and Defendants accepted the benefit of that payment in exchange for issuance and maintenance of the Policy on Plaintiffs' Property.

159. Plaintiffs' payment of the premium was not incidental to the transaction. It was the bargained-for consideration for the issuance and maintenance of the lender-placed insurance Policy covering Plaintiffs' Property during the policy period. By charging that premium to Plaintiffs' account, collecting it, and transferring it for procurement of the Policy, Defendants entered into an insurance transaction in which Plaintiffs' payment gave rise to enforceable rights to the benefits of that coverage.

160. By reason of Plaintiffs' payment of the premium, the issuance of the Policy on Plaintiffs' Property, and the transfer of Plaintiffs' funds for that purpose, Plaintiffs were direct participants in the insurance transaction and in contractual privity with Defendants with respect to the lender-placed insurance coverage.

161. Plaintiffs were direct recipients of the insurance coverage because the Policy was issued on Plaintiffs' home, the premium was paid from Plaintiffs' funds through their escrow or loan account, and the purpose of the coverage was to insure against casualty loss to Plaintiffs' dwelling during the Policy period.

162. A motivating purpose of the contracting parties—Fay, Metropolitan, and Great American—was to provide a direct, intended benefit to Plaintiffs by curing the specific underinsurance gap identified by Fay's internal underwriting. The Policy was explicitly designed to generate repair and replacement proceeds in the event of a casualty loss, a benefit that inherently and inextricably runs to the property owner. Allowing Plaintiffs to enforce this contract is entirely consistent with the objectives of the lender-placed insurance arrangement.

163. The lender (Metropolitan) and Plaintiffs were joint direct recipients of the protection created by that contract: the lender's interest was protected first, and Fay and Metropolitan represented any remaining proceeds to be for Plaintiffs' benefit. The contract, therefore, directly protected both the collateral interest of the lender and the ownership and recovery interests of Plaintiffs in the insured Property.

164. Under the structure of the lender-placed insurance arrangement, the Policy proceeds were intended to be applied first to protect the lender's secured interest (Application of those proceeds to the loan balance would correspondingly reduce or eliminate Plaintiffs' mortgage obligation.). The insurance protection is also for the repair, restoration, or replacement of the insured Property. Because the Property belonged to Plaintiffs and the loss affected Plaintiffs' ownership and use of the Property, Plaintiffs were direct recipients of the protection afforded by the Policy, including the restoration of the dwelling and preservation of the value of their ownership interest. Plaintiffs were therefore entitled to the benefit of those insurance proceeds for the purpose of repairing, restoring, or compensating for the destruction of their Property, and the contract operated to provide that protection to Plaintiffs as owners of the insured dwelling.

165. In the alternative, in the event the court determines that Plaintiffs are not in direct privity, they are at minimum intended third-party beneficiaries of the lender-placed insurance contract. As alleged in the factual allegations, Fay and Metropolitan procured lender-placed coverage specifically because the property was deemed underinsured. Plaintiffs are express or implied beneficiaries of the Great American Policy. The Policy insured the dwelling and was obtained at Plaintiffs' expense (through their escrow account) to protect against loss to the property they owned. Thus, the contract was intended to benefit both Metropolitan and Plaintiffs (the homeowners), giving them standing to enforce it. Under California Civil Code section 1559, a contract made expressly

for the benefit of a third party may be enforced by that party, and here the lender-placed Policy was procured expressly to protect against loss to Plaintiffs' dwelling, satisfying that standard.

166. Plaintiffs performed all conditions required on their part, or such conditions were excused. As alleged in the Retroactive Cancellation factual allegations, Plaintiffs promptly reported the wildfire loss, cooperated with the claim investigation, and provided the documentation requested by the insurer. To the extent performance required action by the policyholder (including claim presentation, adjustment facilitation, or coordination of benefits), Fay and Metropolitan had the authority and obligation to act in good faith to enable the Policy to perform its intended purpose.

167. The Great American Policy obligated the insurer to indemnify for direct physical loss to the property occurring during the policy period (Oct. 15, 2024 – Oct. 15, 2025), for $1,089,000, in excess of any other collectible insurance. The lender-placed Policy could be canceled only prospectively (on a going-forward basis and with notice). The lender-placed Policy covered the January 7, 2025, wildfire loss because that loss occurred during the stated policy period. Defendants accepted payment for that Policy and represented that the coverage would remain in effect until acceptable replacement coverage was provided, at which point cancellation would occur prospectively and any refund would be limited to unearned premium. Those allegations establish that the contract called for actual insurance protection during the Policy period in exchange for the premium Plaintiffs paid. No provision of the contract, as alleged by Plaintiffs and as represented by Fay and Metropolitan, authorized retroactive cancellation or retroactive nullification of coverage after a covered loss had already occurred during the Policy period.

168. Defendants' acceptance and retention of Plaintiffs' $5,793.65 premium created a corresponding obligation to provide the insurance protection purchased for the Policy period, and their failure to do so after the covered loss constitutes both a failure of consideration and a breach of contract. Defendants' attempt to retroactively nullify coverage after a covered loss, in the absence of any contractual provision permitting such action, constitutes a direct violation of the Policy's terms and a material breach of the insurance contract.

169. Upon information and belief, the Great American lender-placed Policy provides that its coverage applies as excess insurance over any other collectible insurance available for the same loss, meaning that the Policy is required to respond after exhaustion or application of any primary policy rather than eliminate coverage. Consistent with the nature of lender-placed insurance, the Policy would operate to fill any gap between the primary insurance proceeds and the covered loss up to the policy limits. By retroactively nullifying the Policy after the January 7, 2025, wildfire loss—instead of applying coverage on an excess basis over Plaintiffs' Farmers policy—Great American failed to perform in accordance with that provision and breached the contract. Defendants have failed to produce the complete policy documentation despite requests, thereby withholding the full terms of the policy from Plaintiffs while relying on selective and shifting interpretations of those terms to deny coverage.

170. Great American breached the contract by refusing to provide lender-placed insurance benefits for a covered wildfire loss that occurred during the policy period, and by retroactively attempting to treat the lender-placed policy as inapplicable to the loss on impermissible grounds. Because the loss occurred while the policy was in force, Great American's refusal to pay constituted a material failure to perform the contract's promise of indemnity. By refusing to provide lender-placed insurance benefits after the wildfire loss, while retaining the $5,793.65 premium that had been charged to and paid by Plaintiffs for coverage on Plaintiffs' Property, Defendants failed to provide the insurance protection purchased through that transaction. Plaintiffs paid for coverage for the Policy period that included January 7, 2025, yet did not receive the benefit of that coverage for the very loss that occurred during that period. That failure to provide the contracted-for insurance protection after accepting the premium constitutes a material breach of the contract.

171. Under the terms of the Policy and California law, an insurer cannot cancel or refuse to honor a policy (i.e., a contract) mid-term after a covered loss except for very limited reasons. Insurance Code §§ 675 and 676 strictly limit midterm cancellation of property insurance to specified grounds like non-payment of premium or the insured's fraud. The existence of other insurance is not an enumerated basis for cancellation in the Policy (Contract) or under § 676 and does not permit retroactive elimination of coverage after loss. Insurance Code section 676 limits midterm cancellation of residential property insurance to enumerated

grounds, and Insurance Code section 677 requires written cancellation notice stating the specific statutory ground relied upon. Here, Great American's only rationale was that another policy existed – a rationale explicitly not permitted by California law. Additionally, no advance notice of cancellation was given as required by Insurance Code §§ 677 and 677.2, which mandate written notice before cancellation, with specific disclosures. Great American's retroactive cancellation and denial of coverage occurred in the context of emergency protections issued by the California Insurance Commissioner, including Bulletin 2025-1, which imposed a moratorium on cancellations and non-renewals of residential property policies in wildfire-affected areas, including Plaintiffs' ZIP code. Great American's actions disregarded the spirit and purpose of these protections and further demonstrate the unreasonableness of its conduct. Great American's attempt to backdate a cancellation after the January 7, 2025 loss, without any notice, is legally ineffective and a breach of the contract.

172. Upon the occurrence of the January 7, 2025, wildfire loss, Plaintiffs' right to indemnity under the Policy vested as a matter of law. Any attempt to retroactively cancel the Policy thereafter constitutes a breach of the duty to pay a vested claim.

173. The breach was not limited to Great American. Fay and Metropolitan also participated directly in the insurance transaction by charging the premium to Plaintiffs' account, confirming that the premium had been paid through escrow, procuring and maintaining the Policy as policyholder, representing the scope and purpose of the coverage, and controlling the claim relationship after the loss. Having accepted Plaintiffs' payment for the coverage and having held the Policy for protection of the Property, Fay and Metropolitan were obligated not to impair, defeat, or nullify that coverage after the covered loss occurred. Fay and Metropolitan breached that obligation by acquiescing in and facilitating the post-loss denial of coverage and by failing to take action to obtain the Policy benefits for which Plaintiffs had paid.

174. Fay's and Metropolitan's breach is further demonstrated by the fact that they charged and collected Plaintiffs' $5,793.65 premium for the lender-placed Policy, confirmed that the premium had been paid through Plaintiffs' account, and yet failed to secure, obtain, or deliver the insurance proceeds for the covered loss.

175. Fay's and Metropolitan's roles were not limited to procurement. Metropolitan, as the named policyholder, and Fay, as its authorized servicer with control over the claim process, had the contractual right and ability to demand adjustment from Great American. Plaintiffs repeatedly requested that Fay and Metropolitan take such action, and both Defendants refused to do so. They controlled the administration and enforcement of the policy, including the ability to demand adjustment, pursue payment, and ensure that the Policy functioned as intended. Their refusal to take those actions after accepting Plaintiffs' premium directly impaired Plaintiffs' ability to receive the benefits of the contract.

176. As policyholder and servicer, Fay and Metropolitan controlled the lender-placed Policy relationship and the claim process, including the ability to demand adjustment, require compliance by the insurer, and pursue payment of Policy benefits. Plaintiffs repeatedly requested that Fay and Metropolitan work with Great American to facilitate payment of the lender-placed proceeds. Fay and Metropolitan failed and refused to do so and acquiesced in Great American's post-loss denial. Under California law, a contracting party breaches when it prevents or frustrates the other contracting party's performance and thereby deprives an intended beneficiary of the promised benefits. Fay's and Metropolitan's refusal to facilitate and demand payment after repeated requests, and their acceptance of a post-loss denial that defeated the Policy's purpose, prevented performance and constituted breach by prevention of performance.

177. Metropolitan, as named policyholders on the lender-placed Policy, had a contractual right to demand adjustment from Great American and affirmatively refused to exercise it after Plaintiffs requested they do so.

178. Fay and Metropolitan have repeatedly refused to reinstate the lender-placed insurance Policy or otherwise take steps within its control to restore or secure coverage following the post-loss denial. Fay and Metropolitan have further refused to facilitate the processing of Plaintiffs' insurance claim and, instead, have impeded the claim by declining to demand adjustment, pursue payment, or require compliance by the insurer with the Policy terms. Fay and Metropolitan have coordinated with Great American in maintaining the denial of coverage, including by accepting and reinforcing the post-loss position that no benefits are owed, thereby preventing Plaintiffs from obtaining the insurance proceeds necessary to

rebuild the Property.

179. As a direct and proximate result of
Defendants' breaches, Plaintiffs have been deprived of $1,089,000 in policy benefits owed under the lender-placed insurance contract, and have suffered additional damages including, but not limited to, delay in rebuilding and recovery; increased displacement and recovery costs; increased mortgage-default exposure because the insurance funds that would have stabilized the loan were withheld; increased borrowing costs and impaired financing; and other consequential damages according to proof. These consequential damages were within the reasonable contemplation of the parties at the time the contract was formed.

(SAC
¶¶ 157-179.)

Plaintiffs adequately allege
ultimate facts in support of the first cause of action: (1) the existence of the contract (SAC ¶ 157); (2) Plaintiffs' performance or excuse for nonperformance (SAC ¶ 157-160, 166); (3) Great American's breach (SAC ¶ 170); and (4) Plaintiffs' resulting damages (SAC ¶ 179.)[1]

Further, while Plaintiffs do not
allege to have been direct parties to the insurance policy at issue, Plaintiffs allege (1) a likely benefit from the contract (SAC ¶ 163); (2) that a motivating purpose of the contracting parties was to provide a benefit to Plaintiffs, at least in part (SAC ¶ 162); and (3) that permitting Plaintiffs to bring their own breach of contract action against the contracting parties is consistent with the objectives of the contract and the reasonable expectations of the contracting parties (SAC ¶ 179.)

Great American argues that the
purpose of the insurance policy contract was to protect the lender's interest. Plaintiffs do not deny that point
but argue that an additional benefit was intended for them.

In support, Great American cites to Long
v. Keller (1980) 104 Cal.App.3d 312, where the Court of Appeal affirmed the trial court's finding that the insurance policy at issue did not cover the uninsured purchaser of property that was destroyed in a fire.

But Long was decided after a bench trial. For pleading purposes, Plaintiffs have adequately alleged that they were intended third-party beneficiaries of the insurance agreement to withstand demurrer. Whether they were actually third-party beneficiaries of the insurance policy at issues is a factual question to be resolved at later stages of the litigation.

Great American also cites to Russell v. Williams (1962) 58 Cal.2d 487, 491, where the California Supreme Court explained, “the proceeds of a policy issued to and paid for by the named insured on his separate insurable interest are not subject to the claims of others who also have an interest in the property covered by the policy.” (Emphasis added.) But here, Plaintiffs allege both that they paid the policy premiums and that the policy contemplated an excess benefit would be provided to them. Therefore, as alleged, the Court finds the instant action factually distinguishable from Russell.

Further, Russell itself also noted: “There are instances where, because of contractual provisions or equitable considerations, the insured holds the proceeds of a fire insurance policy in trust for or otherwise subject to the claim of others who have an interest in the property covered by the subject policy.” (Russell v. Williams, supra, 58 Cal.2d at p. 491.)

Therefore, the Court overrule Great American’s demurrer to the first cause of action.

ii. Fifth and Eleventh Causes of Action – Contractual and Tortious Breaches of the Implied Covenant of Good Faith and Fair Dealing

“Implied in every contract is a covenant of good faith and fair dealing. The implied covenant prevents one side from unfairly frustrating the other's right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming breach must allege the defendant's wrongful conduct was contrary to the contract's purpose and the parties’ legitimate expectations.” (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Tort recovery for a breach of the implied covenant of good faith and fair dealing is generally only available in cases involving an insurance contract, where an independent duty arises from principles of tort law, or where there has been a bad faith denial of the existence of or liability under the breached contract. (Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102.) Otherwise, “a breach of the implied covenant of good faith is a breach of the contract” although “breach of a specific provision of the contract is not ... necessary” to a claim for breach of the implied covenant of good faith and fair dealing[.]” (Thrifty Payless, Inc. v. The Americana at Brand, LLC (2013) 218 Cal.App.4th 1230, 1244.)

Here, the alleged contract at issue is an insurance policy, and Plaintiffs allege the tortious retroactive cancellation of the policy and denial of benefits.

Great American argues that because the breach of contract claim upon which the breach of the implied covenant of good faith and fair dealing claims are based fails, so too must the breach of implied covenant claims fail.

However, as discussed above, the Court overrules Great American’s demurrer to the breach of contract cause of action. Therefore, the Court similarly overrules Great American’s demurrer to the fifth and eleventh causes of action.

2.
MOTION TO STRIKE

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322, subd. (b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782.)

In ruling on a motion to

strike punitive damages, “judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) To state a prima facie claim for punitive damages, a plaintiff must allege the elements set forth in the punitive damages statute, Civil Code section 3294. (College Hosp., Inc. v. Superior Court (1994) 8 Cal.4th 704, 721.) Per Civil Code section 3294, a plaintiff must allege that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) As set forth in the Civil Code,

(1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code, § 3294, subd. (c)(1)-(3), emphasis added.)

Further, a plaintiff must assert facts with specificity to support a conclusion that a defendant acted with oppression, fraud or malice. To wit, there is a heightened pleading requirement regarding a claim for punitive damages. (See Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042.) “When nondeliberate injury is charged, allegations that the defendant’s conduct was wrongful, willful, wanton, reckless or unlawful do not support a claim for exemplary damages; such allegations do not charge malice. When a defendant must produce evidence in defense of an exemplary damage claim, fairness demands that he receive adequate notice of the kind of conduct charged against him.” (G. D. Searle & Co. v. Superior Court (1975) 49 Cal.App.3d 22, 29 [cleaned up].) In Anschutz Entertainment Group, Inc. v. Snepp, the Court of Appeal noted that the plaintiffs’ assertions related to their claim for punitive damages were “insufficient to meet the specific pleading requirement.” (Anschutz Entertainment Group, Inc. v. Snepp (2009) 171 Cal.App.4th 598, 643 [plaintiffs alleged “the conduct of Defendants was intentional, and done willfully, maliciously, with ill will towards Plaintiffs, and with conscious disregard for Plaintiff's rights. Plaintiff's injuries were exacerbated by the malicious conduct of Defendants. Defendants' conduct justifies an award of exemplary and punitive damages”]; see also Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166 [“The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud, or malice, but facts must be alleged in the pleading to support such a claim”].)

Moreover, “the imposition of punitive damages upon a corporation is based upon its own fault. It is not imposed vicariously by virtue of the fault of others.” (City Products Corp. v. Globe Indemnity Co. (1979) 88 Cal.App.3d 31, 36.) “Corporations are legal entities which do not have minds capable of recklessness, wickedness, or intent to injure or deceive. An award of punitive damages against a corporation therefore must rest on the malice of the corporation’s employees. But the law does not impute every employee’s malice to the corporation. Instead, the punitive damages statute requires proof of malice among corporate leaders: the officers, directors, or managing agents.” (Cruz v. Home Base (2000) 83 Cal.App.4th 160, 167 [cleaned up].)

Great American argues that the allegations are too general to support a claim for punitive damages. The Court agrees. Here, Plaintiffs merely assert:

12. Property at issue and original homeowner’s insurance. Plaintiffs purchased and owned the Property as their primary residence in July 2024. At or around the time of purchase, Plaintiffs also obtained homeowners insurance through Farmers Insurance for at least one year, expiring in July 2025 (which Fay and Metropolitan automatically renewed before expiration). The policy provided dwelling coverage A of $1,089,000, with 20% additional extended replacement coverage. Plaintiffs intended to obtain as much insurance as they reasonably could, but insurance availability in Pacific Palisades was limited and many carriers had reduced or withdrawn coverage options in the Pacific Palisades.

15.

Lender-Placed Insurance Coverage. Between approximately August 2024 and November 2024, Fay, Metropolitan, and Vista [Great American's predecessor-in-interest] conducted an internal review of the loan and insurance coverage. These Defendants concluded that Plaintiffs' existing homeowners' insurance coverage was significantly less than what Defendants regarded as the amount needed to protect the lender's position in the event of a total loss and that Defendants therefore decided to procure lender-placed hazard insurance in addition to Plaintiffs' Farmers policy. Fay and Metropolitan concluded, through internal accounting and underwriting review, that Farmers coverage was materially below what they regarded as full replacement cost and materially below the loan balance.

16. As

detailed in the timeline below, Fay and Metropolitan stated that they had procured lender-placed hazard insurance on the Property through Great American in order to provide sufficient coverage for the replacement of the property in the event of loss.

17. In

or around October and November 2024, Fay, Metropolitan, and Vista represented to Plaintiffs that their existing hazard insurance coverage was not 'acceptable' because it did not equal 100% of the estimated replacement cost to rebuild the home and other improvements on the Property. […]

19.

During all relevant times, including at the time of the wildfire loss (January 7th 2025), Plaintiffs maintained a homeowner's insurance policy issued by Farmers Insurance. That policy did not provide sufficient dwelling coverage to meet the lender's replacement-cost requirements. The policy provided dwelling coverage A of $1,089,000, with 20% additional extended coverage.

21. In

late 2024, Fay Servicing notified Plaintiffs that their existing insurance (Farmers Insurance policy) did not meet the deed's requirement of 100% replacement cost coverage. Consequently, on or about November 14, 2024, Fay procured a lender-placed hazard insurance policy (Policy No. E863378) from Great American Assurance Company, with a dwelling coverage limit of $1,089,000, effective October 15, 2024 to October 15, 2025. The January 7, 2025, wildfire loss was during this policy period. Fay expressly notified Plaintiffs that the lender-placed policy was obtained in a letter, a true and correct copy of which is attached as Exhibit A, which explicitly lists the policy period and coverage.

24.
After the wildfire, Plaintiffs were displaced from their home and forced to secure alternative housing. Plaintiffs lost their personal property. The wildfire disrupted Plaintiffs' personal finances and construction business operations. Plaintiffs promptly notified Fay, Metropolitan, and Great American of the loss in January 2025.

32.
Plaintiffs promptly notified Fay, Metropolitan, and Great American of the loss in January 2025. A claim was opened under the Great American lender-placed policy. Great American acknowledged the claim, assigned vendors, and requested documentation, including information regarding Plaintiffs' Farmers policy and valuation materials. […]

36.
Retroactive Cancellation of Lender-Placed Insurance. At no point during this initial claim-handling period did Great American state that coverage was absent, rescinded, canceled, or otherwise unavailable. To the contrary, all Defendants handled the matter as an active claim.

37. In
or around February 1, 2025, Great American, Fay, and Metropolitan charged the lender-placed insurance premium of $5,793.65 to Plaintiffs' account without providing any benefit in return. Attached as Exhibit E is a true and correct copy of the escrow statements produced by Fay and Metropolitan showing the charge to Plaintiffs' account without any benefit in return. Great American, Fay, and Metropolitan continued to impose that premium charge even after the wildfire loss, while simultaneously later taking the position that the lender-placed policy provided no coverage for the loss. Defendants have misappropriated the Plaintiffs' funds for their own benefit, without providing the promised insurance coverage in return.

43.
Plaintiffs promptly complied with all claim-related requests and cooperated fully with the investigation. Great American requested documents on February 4

and February 14, 2025, and Plaintiffs promptly provided the requested materials on February 17, 2025. At no point during this initial claim-handling period did Great American state that coverage was absent, rescinded, canceled, or otherwise unavailable.

44.
After the loss had already occurred and after Great American had already begun handling the matter as an active claim, Defendants reversed course.

45. The
first time Plaintiffs were informed that Great American claimed “no coverage” existed under the lender-placed policy was in or about May 2025, when Great American communicated that it believed Plaintiffs’ Farmers policy constituted acceptable insurance and that premiums would be refunded. In May 2025, Great American communicated to Plaintiffs that it was taking the position that Plaintiffs’ Farmers policy constituted acceptable hazard coverage and that there would therefore be no coverage under the lender-placed policy. Great American further stated that any premium paid would be refunded to escrow. Plaintiffs were thus first informed in or about May 2025 that Defendants were treating the lender-placed policy as effectively unavailable for the January 7, 2025, wildfire loss.

48.
Defendants’ May 2025 reversal was not a routine administrative refund decision, but a deliberate effort to avoid a known and now-matured liability under the very lender-placed policy Defendants had procured to address the underinsurance gap. Fay, Metropolitan, and Great American collaborated to cancel the policy and deny coverage for Plaintiffs.

49.
There was no basis to retroactively nullify or rescind coverage for the January 7, 2025 wildfire loss after the loss had already occurred. If Defendants believed that Plaintiffs’ Farmers policy satisfied their requirements, they could have canceled the lender-placed policy on a going-forward basis. However, the loss at issue occurred during the stated policy period, when the lender-placed policy was in effect and had not been canceled.

50.
Great American’s position was further inconsistent with its own prior claim-handling conduct, including acknowledging the claim, assigning an

inspection vendor, and requesting documentation in connection with the loss, without indicating that no coverage existed. Plaintiffs never received advance notice that the lender-placed policy had been canceled, reduced, or rendered ineffective before the wildfire.

51.
Following the wildfire and the denial or effective nullification of the lender-placed coverage, Plaintiffs suffered severe financial hardship. Their home was destroyed; they were forced to obtain alternative housing; they incurred substantial relocation and living expenses; their business income was disrupted; and insurance proceeds were delayed and inadequate relative to the actual loss. Plaintiffs' rebuild costs are estimated to be approximately $2.8 million, well in excess of the Farmers coverage limits.

52.
Defendants took the position that the lender-placed policy was retroactively canceled, despite the policy being in force on the date of loss and despite Great American's prior claim-handling conduct.

56.
Moreover, effective January 2025, a one-year moratorium (Insurance Commissioner's Bulletin 2025-1 dated Jan. 9, 2025) prohibited insurers from canceling or non-renewing fire policies in wildfire-affected areas. Great American's post-fire cancellation also violated this public policy directive, which was intended to ensure survivors could rely on their coverage in the wake of disaster.

267.
Great American's attempt to treat lender-placed coverage as inapplicable after the loss, based solely on the existence of other insurance, is the type of practice these statutes are designed to prevent: post-loss withdrawal of protection. Fay's and Metropolitan's refusal to facilitate and demand payment of proceeds, and its acquiescence in a post-loss denial that defeated the policy's purpose, implemented the same unlawful result and constitutes participation in and benefit from the statutory violation.

272. As
alleged in the Retroactive Cancellation factual allegations, it is unfair to procure lender-placed insurance because a homeowner is underinsured, collect the premiums for that protection through the mortgage relationship, and then,

after a catastrophic loss occurs during the policy period, deny the very coverage that was procured to address the underinsurance gap. The consumer cannot reasonably avoid this injury because the servicer and the insurer control the lender-placed program. The harm—loss of rebuilding proceeds and destabilization of the borrower's housing and financial situation—massively outweighs any claimed benefit of post-loss denial, particularly where the denial is based on an impermissible rationale that undermines statutory insurance protections.

273. As
alleged in the Failure to Grant Forbearance factual allegations, it is likewise unfair for a servicer to delay disaster-related relief for months, allow fees and delinquency consequences to accrue, report adverse credit, and pressure liquidation outcomes in the immediate aftermath of a wildfire that destroyed the borrower's home. Disaster-related hardship is the very context in which consumer injury is predictable and severe, and the statutory framework exists to prevent precisely this kind of compounding harm. Plaintiffs could not reasonably avoid the injury because Fay and Metropolitan controlled the servicing process and the credit reporting consequences. The injury—fees, credit damage, business disruption, and foreclosure pressure—outweighs any legitimate servicer interest in delay or punitive escalation.

274.
Fraudulent Prong (Pled in the Alternative). In the alternative, Defendants' practices were "fraudulent" within the meaning of section 17200 because they were likely to deceive a reasonable consumer. Under the UCL, fraudulent practices include conduct likely to mislead members of the public, even without proof of the common-law fraud elements.

[…] Great
American's implication that the mere existence of other insurance effectively extinguishes lender-placed coverage is also likely to mislead consumers regarding their rights to the benefits of insurance procured to address underinsurance. These practices are likely to deceive reasonable consumers in Plaintiffs' position.

281.
Defendants intentionally engaged in wrongful conduct independent of the interference itself. As alleged in the Retroactive Cancellation factual allegations, Great American intentionally refused to pay lender-placed benefits

for a covered total loss during the policy period and attempted to treat coverage as inapplicable after loss on impermissible grounds. […]

366.
Great American's conduct, including its delay in resolving the claim and its failure to provide a reasonable basis for denial, was inconsistent with accepted claims-handling standards and further demonstrates the unreasonableness of its conduct.

367.
Great American's conduct was despicable and carried out with oppression, fraud, and malice within the meaning of California Civil Code section 3294. Great American acted with conscious disregard for Plaintiffs' rights by stringing Plaintiffs along during the claim process, concealing policy terms, and manufacturing a baseless reason to deny a catastrophic loss after recognizing the magnitude of its financial exposure. Plaintiffs therefore seek punitive and exemplary damages in an amount sufficient to punish and deter such conduct.

(SAC ¶¶ 12, 15-17, 19, 21, 24, 32, 36-37, 43-45, 48-52, 56, 267, 272-275, 281, 366-367.)

While the allegations generally indicate Great American retroactively cancelled the policy at issue after the home had burned, the Court finds the allegations to be insufficient to advance a claim for punitive damages.

Moreover, Plaintiffs fail to allege who, what, when, where, and how Great American had the requisite knowledge or acted with oppression, fraud, and/or malice. Further, the allegations do not specify what officer, director or managing agent of Great American committed such oppression, fraud, and/or malice.

3.
LEAVE TO AMEND

A plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See The Inland Oversight Committee v. City of San Bernardino (2018) 27 Cal.App.5th 771, 779; PGA West Residential

Assn., Inc. v. Hulven Int'l, Inc. (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See PGA West Residential Assn., Inc. v. Hulven Int'l, Inc., supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that “if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend.” (See Major Clients Agency v Diemer (1998) 67 Cal.App.4th 1116, 1133; Graham v. Bank of America (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiffs have failed to meet this burden as they do not address whether leave should be granted if either the demurrer is sustained or the motion to strike is granted.

CONCLUSION AND ORDER

For the reasons stated the Court overrules Great American’s Demurrer to the first, fifth, and eleventh causes of action, and grants Great American’s motion to strike punitive damages allegations without leave to amend and without prejudice.

Further, the Court orders Great American to file and serve an Answer to the SAC on or before August 17, 2026.

Further, the Court will enter the proposed Orders lodged on July 8, 2026 in conformity with the Court’s ruling on the Demurrer and Motion to Strike.

Great American shall provide notice of the Court’s ruling/Orders and file the notice with a proof of service forthwith.

DATED: August 4, 2026 ___________________________

Michael E. Whitaker

Judge of the Superior Court

[1] “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action. The demurrrer admits the truth of all material facts properly pleaded, including all ultimate facts alleged, but not contentions, deductions or conclusions of fact or law.” (Simple Avo Paradise Ranch, LLC v. Southern California Edison Co. (2024) 102 Cal.App.5th 281, 299, citations omitted.) Ultimate facts are those “constituting the cause of action” or those upon which liability depends, e.g., duty of care, breach of the duty and causation (damages). (See Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “[T]he term ultimate fact generally refers to a core fact, such as an essential element of a claim. Ultimate facts are distinguished from evidentiary facts and from legal conclusions.” (Central Valley General Hosp. v. Smith (2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also Rodriguez v. Parivar, Inc. (2022) 83 Cal.App.5th 739, 750–751 [“The elements of a cause of action constitute the essential or ultimate facts in a civil case”].)